

KELANI CABLES PLC

Company Reg. No. PQ 117



INTERIM FINANCIAL STATEMENTS
FOR THE 09 MONTHS PERIOD ENDED DECEMBER 31, 2021

KELANI CABLES PLC
INTERIM FINANCIAL STATEMENTS - 31ST DECEMBER 2021

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

For the quarter ended 31 December	COMPANY AND INVESTEE		COMPANY	
	2021 Rs.	2020 Rs.	2021 Rs.	2020 Rs.
Revenue	4,329,626,004	2,464,872,508	4,329,626,004	2,464,872,508
Cost of sales	(3,193,477,649)	(2,194,328,397)	(3,193,477,649)	(2,194,328,397)
Gross profit	1,136,148,355	270,544,111	1,136,148,355	270,544,111
Other income	3,813,083	2,322,031	3,813,083	2,322,031
Change in fair value of investment property	-	-	-	-
Distribution expenses	(140,454,556)	(124,531,929)	(140,454,556)	(124,531,929)
Administrative expenses	(84,278,743)	(87,662,723)	(84,278,743)	(87,662,723)
Profit from operations	915,228,139	60,671,490	915,228,139	60,671,490
Finance income	17,102,340	9,552,629	17,102,340	9,552,629
Finance expenses	(30,166,978)	(16,693,931)	(30,166,978)	(16,693,931)
Net finance expenses	(13,064,638)	(7,141,302)	(13,064,638)	(7,141,302)
Share of (loss)/profit on equity accounted investee, net of tax	(605,781)	(521,856)	-	-
Profit before tax	901,557,720	53,008,332	902,163,501	53,530,188
Income tax expense	(162,389,430)	(9,635,434)	(162,389,430)	(9,635,434)
Profit for the quarter	739,168,290	43,372,898	739,774,071	43,894,754
Other comprehensive income				
Items that will not be reclassified to profit or loss				
Actuarial (loss)/gain on defined benefit obligations	-	(180,330)	-	(180,330)
Related tax	-	32,460	-	32,460
Other comprehensive income , net of tax	-	(147,870)	-	(147,870)
Total comprehensive income for the quarter	739,168,290	43,225,028	739,774,071	43,746,884
Earnings per share -Rs.	33.91	1.99	33.93	2.01
Market value per share				
Highest price-Rs.			550.00	100.00
Lowest price-Rs.			129.00	89.00
Last traded price-Rs.			489.75	116.50
Number of shares representing the stated capital (Nos.)			21,800,000	21,800,000

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

For the period ended 31 December	COMPANY AND INVESTEE		COMPANY	
	2021 Rs.	2020 Rs.	2021 Rs.	2020 Rs.
Revenue	10,989,681,362	6,290,704,156	10,989,681,362	6,290,704,156
Cost of sales	(8,752,585,863)	(5,548,697,480)	(8,752,585,863)	(5,548,697,480)
Gross profit	2,237,095,499	742,006,676	2,237,095,499	742,006,676
Other income	14,972,814	7,159,564	14,972,814	7,159,564
Distribution expenses	(369,224,006)	(315,815,002)	(369,224,006)	(315,815,002)
Administrative expenses	(283,317,935)	(238,725,116)	(283,317,935)	(238,725,116)
Profit from operations	1,599,526,372	194,626,122	1,599,526,372	194,626,122
Finance income	41,329,638	26,206,572	41,329,638	26,206,572
Finance expenses	(146,058,711)	(77,064,718)	(146,058,711)	(77,064,718)
Net finance expenses	(104,729,073)	(50,858,146)	(104,729,073)	(50,858,146)
Share of loss on equity accounted investee, net of tax	(1,825,731)	(1,591,080)	-	-
Profit before tax	1,492,971,568	142,176,896	1,494,797,299	143,767,976
Income tax expense	(269,058,228)	(25,878,236)	(269,058,228)	(25,878,236)
Profit for the period	1,223,913,340	116,298,660	1,225,739,071	117,889,740
Other comprehensive income				
Items that will not be reclassified to profit or loss				
Actuarial (loss)/gain on defined benefit obligations	-	(517,620)	-	(517,620)
Related tax	-	93,172	-	93,172
Other comprehensive income, net of tax	-	(424,448)	-	(424,448)
Total comprehensive income for the period	1,223,913,340	115,874,212	1,225,739,071	117,465,292
Earnings per share -Rs.	56.14	5.33	56.23	5.41
Market value per share				
Highest price-Rs.			550.00	120.10
Lowest price-Rs.			110.25	50.00
Last traded price-Rs.			489.75	116.50
Number of shares representing the stated capital			21,800,000	21,800,000

STATEMENT OF FINANCIAL POSITION

	COMPANY & INVESTEE		COMPANY	
	As at 31 December 2021 Rs.	As at 31 March 2021 Rs.	As at 31 December 2021 Rs.	As at 31 March 2021 Rs.
ASSETS				
NON CURRENT ASSETS				
Property, plant and equipment	1,171,795,581	1,009,006,175	1,171,795,581	1,009,006,175
Intangible assets	1,628,957	6,825,088	1,628,957	6,825,088
Investment property	650,500,000	650,500,000	650,500,000	650,500,000
Right-of-use assets	3,348,474	4,018,166	3,348,474	4,018,166
Investment in equity accounted investee	71,629,353	73,455,084	51,200,000	51,200,000
	1,898,902,365	1,743,804,513	1,878,473,012	1,721,549,429
CURRENT ASSETS				
Inventories	2,071,108,313	2,227,972,407	2,071,108,313	2,227,972,407
Trade and other receivables	2,554,390,039	2,981,195,149	2,554,390,039	2,981,195,149
Amount due from related companies	43,713,589	224,294	43,713,589	224,294
Value added tax recoverable	753,600,991	743,686,739	753,600,991	743,686,739
Deposits and prepayments	15,662,654	15,345,296	15,662,654	15,345,296
Cash and cash equivalents	2,044,416,067	924,789,700	2,044,416,067	924,789,700
	7,482,891,653	6,893,213,585	7,482,891,653	6,893,213,585
TOTAL ASSETS	9,381,794,018	8,637,018,098	9,361,364,665	8,614,763,014
EQUITY AND LIABILITIES				
EQUITY				
Stated capital	218,000,000	218,000,000	218,000,000	218,000,000
Capital reserves	592,491,173	592,491,173	522,620,414	522,620,414
General reserves	431,136,000	431,136,000	431,136,000	431,136,000
Retained earnings	4,534,009,223	3,408,195,883	4,583,450,629	3,455,811,558
	5,775,636,396	4,649,823,056	5,755,207,043	4,627,567,972
NON-CURRENT LIABILITIES				
Employee benefits	174,316,837	160,740,911	174,316,837	160,740,911
Deferred taxation	41,408,240	41,408,240	41,408,240	41,408,240
Interest bearing borrowings	278,313,802	5,553,380	278,313,802	5,553,380
	494,038,879	207,702,531	494,038,879	207,702,531
CURRENT LIABILITIES				
Trade and other payables	1,869,198,374	1,960,727,534	1,869,198,374	1,960,727,534
Amount due to related companies	485,682,808	600,636,824	485,682,808	600,636,824
Current taxation	484,200,094	306,620,053	484,200,094	306,620,053
Unclaimed dividends	12,333,522	17,212,429	12,333,522	17,212,429
Interest bearing borrowings	258,571,006	803,428,116	258,571,006	803,428,116
Bank overdrafts	2,132,939	90,867,555	2,132,939	90,867,555
	3,112,118,743	3,779,492,511	3,112,118,743	3,779,492,511
TOTAL LIABILITIES	3,606,157,622	3,987,195,042	3,606,157,622	3,987,195,042
TOTAL EQUITY AND LIABILITIES	9,381,794,018	8,637,018,098	9,361,364,665	8,614,763,014
Net asset per share (Rs.)	264.94	213.29	264.00	212.27

These Financial Statements have been prepared in compliance with the requirements of the Companies Act No. 7 of 2007.

Ms. Hemamala Karunasekara
Chief Financial Officer

Mahinda Saranapala
Director / Chief Executive Officer

U. G. Madanayake
Chairman

February 2, 2022
Colombo

STATEMENT OF CHANGES IN EQUITY

COMPANY AND INVESTEE

	Stated Capital Rs.	Capital Reserves Rs.	General Reserves Rs.	Retained Earnings Rs.	Total Rs.
Balance as at 1 April 2020	218,000,000	404,949,947	431,136,000	2,908,360,870	3,962,446,817
Comprehensive income for the period					
Profit for the period				116,298,660	116,298,660
Other comprehensive income	-	-	-	(424,448)	(424,448)
Total comprehensive income	-	-	-	115,874,212	115,874,212
Transactions with owners of the Company					
Interim dividend	-	-	-	(76,300,000)	(76,300,000)
Balance as at 31 December 2020	218,000,000	404,949,947	431,136,000	2,947,935,082	4,002,021,029
Balance as at 1 April 2021	218,000,000	592,491,173	431,136,000	3,408,195,883	4,649,823,056
Comprehensive income for the period					
Profit for the period	-	-	-	1,223,913,340	1,223,913,340
Other comprehensive income	-	-	-	-	-
Total comprehensive income	-	-	-	1,223,913,340	1,223,913,340
Transactions with owners of the Company					
Interim Dividend	-	-	-	(98,100,000)	(98,100,000)
Balance as at 31 December 2021	218,000,000	592,491,173	431,136,000	4,534,009,223	5,775,636,396

COMPANY

	Stated Capital Rs.	Capital Reserves Rs.	General Reserves Rs.	Retained Earnings Rs.	Total Rs.
Balance as at 1 April 2020	218,000,000	353,276,640	431,136,000	2,956,492,157	3,958,904,797
Comprehensive income for the period					
Profit for the period	-	-	-	117,889,740	117,889,740
Other comprehensive income	-	-	-	(424,448)	(424,448)
Total comprehensive income	-	-	-	117,465,292	117,465,292
Transactions with owners of the Company					
Interim dividend	-	-	-	(76,300,000)	(76,300,000)
Balance as at 31 December 2020	218,000,000	353,276,640	431,136,000	2,997,657,449	4,000,070,089
Balance as at 1 April 2021	218,000,000	522,620,414	431,136,000	3,455,811,558	4,627,567,972
Comprehensive income for the period					
Profit for the period	-	-	-	1,225,739,071	1,225,739,071
Other comprehensive income	-	-	-	-	-
Total comprehensive income	-	-	-	1,225,739,071	1,225,739,071
Transactions with owners of the Company					
Interim dividend	-	-	-	(98,100,000)	(98,100,000)
Balance as at 31 December 2021	218,000,000	522,620,414	431,136,000	4,583,450,629	5,755,207,043

KELANI CABLES PLC
INTERIM FINANCIAL STATEMENTS - 31ST DECEMBER 2021

STATEMENT OF CASH FLOWS

For the period ended 31 December	COMPANY & INVESTEE		COMPANY	
	2021 Rs.	2020 Rs.	2021 Rs.	2020 Rs.
Cash flow from operating activities				
Profit before tax	1,492,971,568	142,176,896	1,494,797,299	143,767,976
Adjustments for:				
Share of loss from equity accounted investee (net of tax)	1,825,731	1,591,080	-	-
Interest income	(41,329,638)	(25,008,162)	(41,329,638)	(25,008,162)
Interest expense	70,835,854	77,064,718	70,835,854	77,064,718
Depreciation of property, plant and equipment	69,543,523	63,613,906	69,543,523	63,613,906
Impairment of trade receivables	-	53,261	-	53,261
Amortization of Intangible assets	5,196,131	-	5,196,131	-
Amortization of right-of-use assets	669,692	-	669,692	-
Provision for obsolete and slow moving inventories	35,306,042	21,409,438	35,306,042	21,409,438
Provision for employee benefits	19,945,827	17,412,562	19,945,827	17,412,562
Operating profit before working capital changes	1,654,964,730	298,313,699	1,654,964,730	298,313,699
Changes in working capital				
Decrease/(Increase) in inventories	121,558,052	(367,811,961)	121,558,052	(367,811,961)
Decrease in trade and other receivables	426,805,110	113,432,923	426,805,110	113,432,923
Increase in amount due from related companies	(43,489,295)	(33,515,186)	(43,489,295)	(33,515,186)
Increase in deposits and prepayments and value added tax recoverable	(10,231,610)	(89,366,524)	(10,231,610)	(89,366,524)
Increase/(decrease) in amount due to related parties	(91,529,160)	405,606,028	(91,529,160)	405,606,028
Increase/(decrease) in trade and other payables	(114,954,016)	188,358,141	(114,954,016)	188,358,141
Cash generated from operations	1,943,123,811	515,017,120	1,943,123,811	515,017,120
Employee benefit paid	(6,369,901)	(6,448,591)	(6,369,901)	(6,448,591)
Current tax paid	(91,478,187)	(38,969,529)	(91,478,187)	(38,969,529)
Interest paid	(70,835,854)	(77,064,718)	(70,835,854)	(77,064,718)
Net cash generated from / (used in) operating activities	1,774,439,869	392,534,282	1,774,439,869	392,534,282
Cash flow from investing activities				
Acquisition of property, plant and equipment	(232,332,929)	(57,410,084)	(232,332,929)	(57,410,084)
Interest received	41,329,638	25,008,162	41,329,638	25,008,162
Net cash (used in) / generated from investing activities	(191,003,291)	(32,401,922)	(191,003,291)	(32,401,922)
Cash flow from financing activities				
Dividend paid	(102,978,907)	(95,799,621)	(102,978,907)	(95,799,621)
Lease payments	(478,409)	-	(478,409)	-
Loans obtained during the period	1,971,740,822	1,951,569,546	1,971,740,822	1,951,569,546
Loans repayments during the period	(2,243,359,101)	(2,070,160,535)	(2,243,359,101)	(2,070,160,535)
Net Cash (used in) / generated from financing activities	(375,075,595)	(214,390,610)	(375,075,595)	(214,390,610)
Net increase in cash and cash equivalents	1,208,360,983	145,741,750	1,208,360,983	145,741,750
Cash and cash equivalents at beginning of the period	833,922,145	596,909,472	833,922,145	596,909,472
Cash and cash equivalents at the end of the period	2,042,283,128	742,651,222	2,042,283,128	742,651,222

NOTES TO THE FINANCIAL STATEMENTS

- Figures in the Interim Financial Statements are provisional and subject to audit.
- The consolidated interim financial statements have been prepared in accordance with the accounting policies set out in the Annual Report for the year ended 31 March 2021 and are in compliance with Sri Lanka Accounting Standards - LKAS 34 -Interim Financial Reporting.
- The previous period figures have been re-classified to confirm with the current year's presentation.
- The contingent liability as at December 31, 2021 on guarantees given to third parties amounted to Rs.163,616,805/-.
- The Board of Directors declared an Interim Dividend of Rs.4/50 per share for the year ended 31 March 2021 amounting to Rs.98.1 Mn on 26 July 2021 which was paid on 24 August 2021.
- There have been no other material events subsequent to the interim period which require disclosure in the Financial Statements.
- The number of shares held by the Board of Directors are as follows :

		As at 31 December 2021		As at 31 December 2020	
		No. of Shares	% Holding	No. of Shares	% Holding
Mr. U. G. Madanayake	- Chairman	56,200		56,200	0.26%
Mr. Suren Madanayake	- Deputy Chairman	61,000		61,000	0.28%
Mrs. N. C. Madanayake	- Director	-		-	
Dr. Bandula Perera	- Director	-		-	
Mr. Mahinda Saranapala	- Director/CEO	-		-	
Mr. Deepal Sooriyaarachchi	- Director	-		-	

- Shares held by public

	No. of Shares	% Holding	No. of Shareholders
Shares held by public as at 31 December 2021	4,399,696	20.2%	1564
Float adjusted market capitalization (Rs.)	2,154,751,116		

Company complies the requirement of Listing Rules of **7.13.1 -Minimum Public Holding as a Continuous Listing Requirement** under the option No. 05 of 7.13.1 (a) as follows.

OPTION	MINIMUM PUBLIC HOLDING REQUIREMENT		
	Float adjusted Market Capitalization	Public Holding Percentage	Number of Public Shareholders
Option -5	Less than Rs.2.5Bn	20%	500

- 20 Largest Shareholders of the Company as at 31 December 2021 were as follows:

	No. of Shares	% Holding
1 Lanka Olex Cables (Private) Ltd	16,349,348	75.00%
2 ACL Cables PLC	933,756	4.28%
3 Ramanan G.	188,313	0.86%
4 Bank of Ceylon-No 2 A/C (BOC PTF)	146,918	0.67%
5 Frontier Wealth (Pvt) Ltd	135,144	0.62%
6 Hatton National Bank PLC/Hennasy Geeth B.	130,000	0.60%
7 Employees Trust Fund Board	116,285	0.53%
8 Perera W. D. N. H.	105,022	0.48%
9 Thaha I. M.	103,500	0.47%
10 DFCC Bank PLC A/C No. 02	87,450	0.40%
11 Hatton National Bank PLC-Astrue Alpha Fund	80,000	0.37%
12 Ceylinco Shiram Capital Management Services	76,600	0.35%
13 Asantha D. N.	64,895	0.30%
14 Saraswathi V. and Vasudevan S.	63,944	0.29%
15 Goonesekera C. D. M. (Mrs.)	62,500	0.29%
16 Madanayake H. A. S.	61,000	0.28%
17 Seylan Bank PLC/Neyil Susnth Sugathadasa	60,750	0.28%
18 Ratnasabapathy M. R.	56,369	0.26%
19 Madanayake U. G.	56,200	0.26%
20 Mayakaduwa J. K.	54,000	0.25%

CORPORATE INFORMATION

Name of the Company	- Kelani Cables PLC
Company registration No.	- PQ 117
Legal form	- A Quoted Public Company with Limited Liability Incorporated as Ceylon Non-Ferrous Metal Industries Limited on 27th January 1969. Thereafter on 18th December 1973 the name was changed to Kelani Cables Limited. With the adoption of the Companies Act No. 07 of 2007, re-registered as Kelani Cables PLC in February 2008.
Registered office	- No. 60, Rodney Street, Colombo 08, Sri Lanka Telephone : 94-11-7608300, 94-11-2697652 Fax : 94-11-2667758, 94 11 2699503
Principle place of business	- P.O. Box 14, Wewelduwa, Kelaniya, Sri Lanka Telephone : 94-11-2911224, 94-11-7434400 Fax : 94-11-2910481 Email : info@kelanicable.com Website : www.kelanicable.com
Board of directors	- Mr. U. G. Madanayake Mr. Suren Madanayake Mrs. N. C. Madanayake Dr. Bandula Perera Mr. Mahinda Saranapala Mr. Deepal Sooriyaarachchi
Company secretary	- Corporate Affairs (Private) Limited. No. 68/1, Dawson Street, Colombo 02, Sri Lanka
Auditors	- KPMG (Chartered Accountants) 32A, Sir Mohamed Macan Marker Mawatha P. O. Box 186 Colombo 03 Sri Lanka
Bankers	- Hatton National Bank PLC Hongkong and Shanghai Banking Corporation Limited Standard Chartered Bank Peoples Bank Nations Trust Bank PLC NDB Bank PLC DFCC Bank PLC Commercial Bank of Ceylon PLC Sampath Bank PLC